FIRST ABU DHABI BANK

Group Risk Management — Credit Risk Division

CREDIT CONCENTRATION & EXPOSURE LIMITS POLICY

Single-Obligor, Sector, and Geographic Concentration Controls

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Approved By	Board Risk & Compliance Committee
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Classification	Confidential — Internal Use Only

1. Purpose

This policy establishes the concentration risk management framework for FAB's credit portfolio, including single-obligor exposure limits, sector concentration limits, geographic limits, and product-type limits. Concentration limits are a critical control in FAB's credit risk management framework and must be consulted as part of every credit approval process.

AI SYSTEM NOTE: When AI systems (including the GERNAS Pricing Agent) query this policy for concentration limits, they must use the Knowledge Graph interface (kg_check_concentration function) rather than reading this document directly. The Knowledge Graph is the authoritative, always-current source. This document provides the policy narrative; the Knowledge Graph stores the current binding limits.

2. Single-Obligor Limits

2.1 Definition of Connected Counterparties

For the purpose of concentration limit calculations, 'connected counterparties' means any group of two or more legal entities where: (a) one entity owns or controls directly or indirectly 20% or more of the voting rights or equity of another; or (b) one entity is financially dependent on another to the extent that, if one were to experience financial difficulty, the other would likely also encounter repayment difficulties.

FAB's Credit Administration team maintains a Connected Counterparty Register which is the authoritative source for group membership determinations. AI systems must reference this register (via the Knowledge Graph Client entity and IS_SUBSIDIARY_OF edge traversal) when calculating group exposure.

2.2 Single-Obligor Limits Table

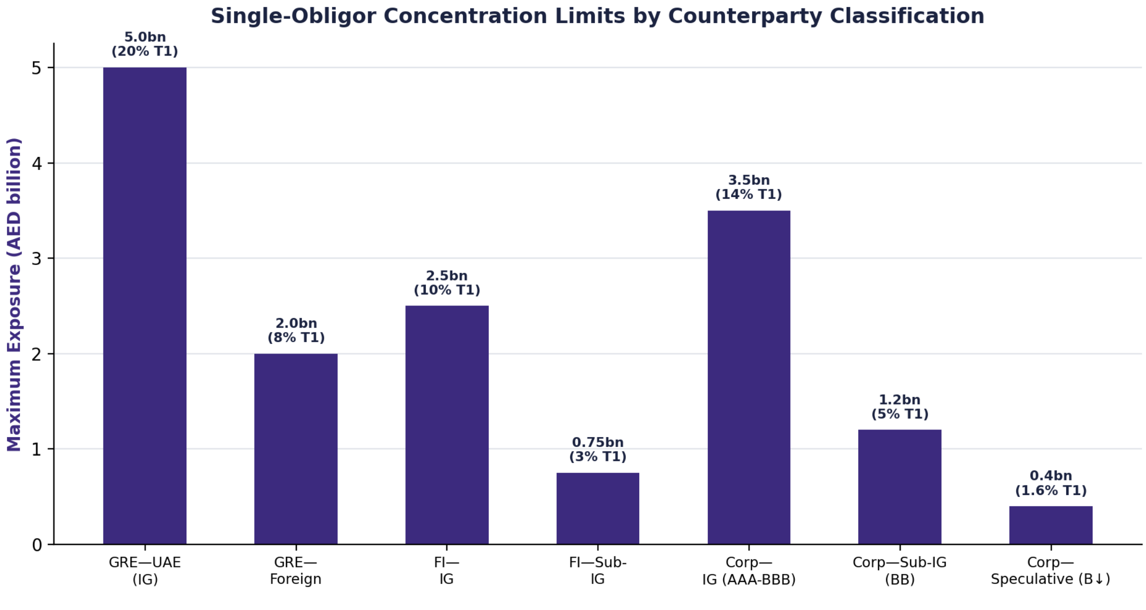

Figure 2.1 — Maximum exposure by counterparty classification (AED billion, % of Tier 1 capital).

Counterparty Classification	Max Exposure (AED)	% of Tier 1 Capital	Approval if Approaching Limit
UAE Federal / Emirate Government	No regulatory limit; Board-approved country limit	Basel III Large Exposure: 25%	Board Risk Committee
GRE — UAE (Investment Grade)	5,000,000,000	20%	Group Credit Committee above 80% utilisation
GRE — Foreign	2,000,000,000	8%	Group Credit Committee above 70% utilisation

Counterparty Classification	Max Exposure (AED)	% of Tier 1 Capital	Approval if Approaching Limit
Financial Institution — Investment Grade	2,500,000,000	10%	CCC above 75% utilisation
Financial Institution — Sub-Investment Grade	750,000,000	3%	GCC for all facilities
Corporate — Investment Grade (AAA to BBB)	3,500,000,000	14%	CCC above 80%; GCC above 90%
Corporate — Sub-Investment Grade (BB)	1,200,000,000	5%	GCC for all new facilities; CRO approval
Corporate — Speculative (B and below)	400,000,000	1.6%	CRO + CCO approval for any new exposure

3. Sector Concentration Limits

In addition to single-obligor limits, FAB maintains portfolio-level sector concentration limits to prevent excessive exposure to a single industry sector. Sector limits are expressed as a percentage of FAB's total corporate credit portfolio outstanding.

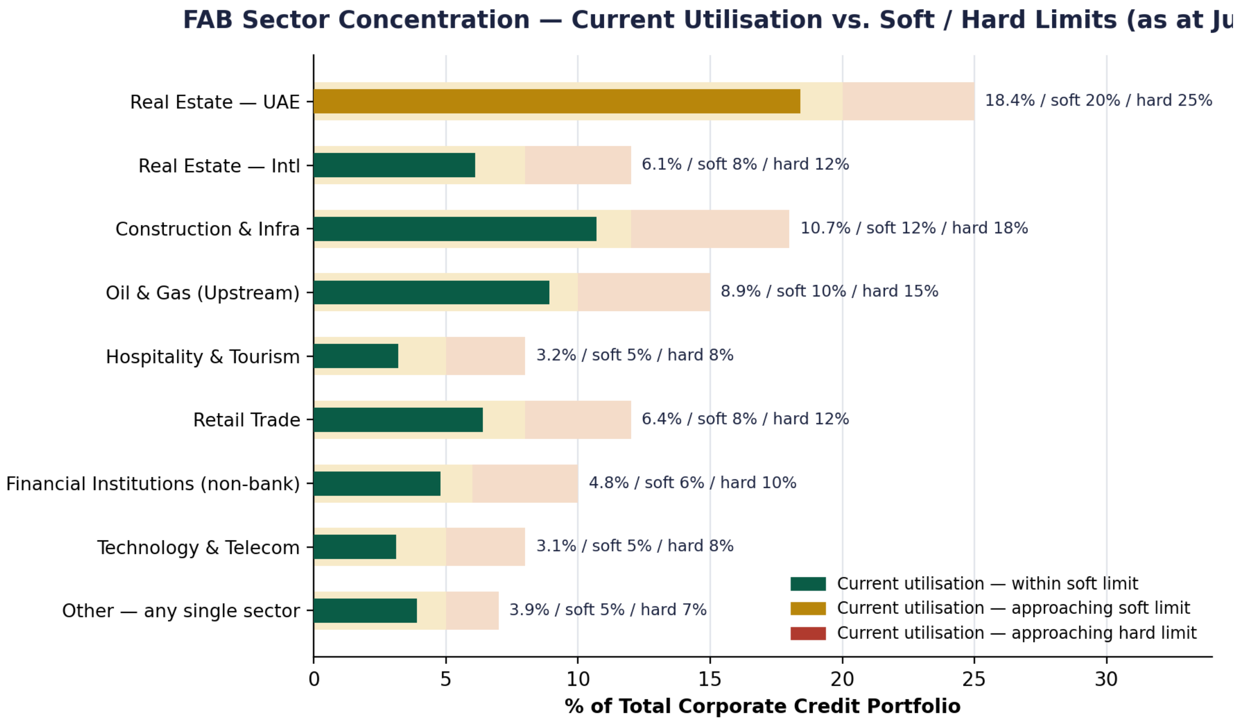

Figure 3.1 — Current sector utilisation vs. soft and hard limits (as at Jun-2024).

Sector	Soft Limit (% portfolio)	Hard Limit (% portfolio)	Current Utilisation
Real Estate — UAE	20%	25%	Updated monthly — see MIS
Real Estate — International	8%	12%	Updated monthly — see MIS
Construction & Infrastructure	12%	18%	Updated monthly — see MIS
Oil & Gas (Upstream)	10%	15%	Updated monthly — see MIS
Hospitality & Tourism	5%	8%	Updated monthly — see MIS
Retail Trade	8%	12%	Updated monthly — see MIS
Financial Institutions (non-bank)	6%	10%	Updated monthly — see MIS
Technology & Telecommunications	5%	8%	Updated monthly — see MIS
Other — any single sector	5%	7%	Updated monthly — see MIS

SOFT vs HARD LIMITS: Approaching the Soft Limit triggers enhanced monitoring and requires notification to the CCC. Breaching the Hard Limit requires immediate GCC review and a remediation plan. No new facilities may be approved in a sector at Hard Limit without GCC waiver.

3.3 Real Estate — UAE: Trend Monitoring

Real Estate — UAE is FAB's largest single-sector exposure and has shown a steady upward drift over the past eight quarters. While current utilisation (18.4%) remains below the 20% soft limit, the trend trajectory is monitored closely by the Credit Risk Analytics team given its proximity to the threshold.

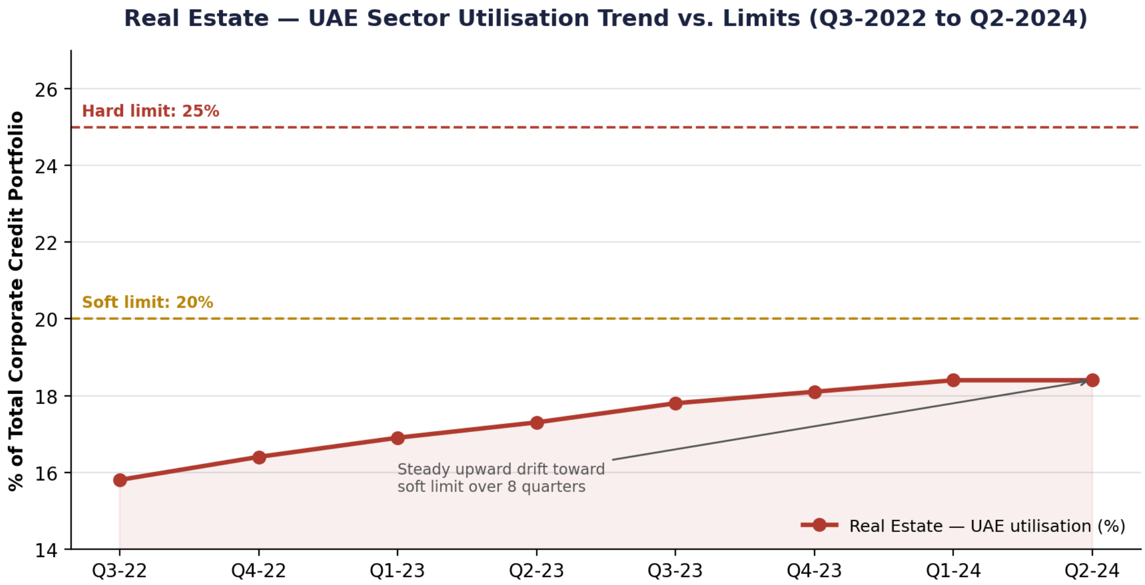

Figure 3.2 — Real Estate — UAE sector utilisation trend vs. soft/hard limits, Q3-2022 to Q2-2024.

4. Limit Monitoring and Breach Procedures

Concentration limits are monitored daily by the Credit Risk Analytics team. Utilisation reports are published weekly on the Credit Risk dashboard. Any breach or imminent breach (>90% utilisation of hard limit) must be reported to the CRO within 24 hours.

AI pricing systems that detect a concentration limit breach flag (via kg_check_concentration) must: (a) include the breach flag in the Policy Checker output; (b) route the recommendation for GCC approval regardless of deal size; and (c) include the concentration breach information in the MRM Evidence Pack.